EVEREST INTERNATIONAL REINSURANCE, LTD.

(a wholly owned subsidiary of Everest Group, Ltd.)

U.S. GAAP Financial Statements

For the Years Ended December 31, 2024 and 2023

KPMG LLP
345 Park Avenue
New York, NY 10154-0102

Independent Auditors' Report

Board of Directors of Everest International Reinsurance, Ltd.

Opinion

We have audited the consolidated financial statements of Everest International Reinsurance, Ltd. (the Company), which comprise the consolidated balance sheet as of December 31, 2024, and the related consolidated statements of operations and comprehensive income (loss), changes in shareholder's equity, and cash flows for the year then ended, and the related notes to the consolidated financial statements.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2024, and the results of its operations and its cash flows for the year then ended in accordance with U.S. generally accepted accounting principles.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the consolidated Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Emphasis of Matter

As discussed in Note 8 to the consolidated financial statements, the Company has significant transactions with related parties. Our opinion is not modified with respect to this matter.

Other Matter

The consolidated financial statements of the Company as of and for the year ended December 31, 2023 were audited by another auditor, who expressed an unmodified opinion on those statements on April 25, 2024.

Responsibilities of Management for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with U.S. generally accepted accounting principles, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date that the consolidated financial statements are available to be issued.

Auditors' Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and

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therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the consolidated financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control related matters that we identified during the audit.

Required Supplementary Information

U.S. generally accepted accounting principles require that the information about incurred and paid claims development for the years ended December 31, 2015 to December 31, 2023 on pages 20, 21, 22 and 23 be presented to supplement the basic consolidated financial statements. Such information is the responsibility of management and, although not a part of the basic consolidated financial statements, is required by the Financial Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic consolidated financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with GAAS, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic consolidated financial statements, and other knowledge we obtained during our audit of the basic consolidated financial statements.

We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

KPMG LLP

New York, New York
April 25, 2025

EVEREST INTERNATIONAL REINSURANCE, LTD.
CONSOLIDATED BALANCE SHEETS

(Dollars in thousands)	December 31, 2024	December 31, 2023
ASSETS:		
Fixed maturities - available for sale	$ 3,087,317	$ 3,205,256
(amortized cost: 2024, $3,258,355; 2023, $3,314,689, credit allowances: 2024, $0; 2023, $0)		
Investment in unconsolidated affiliate	6,933	—
Other invested assets	474,712	380,373
Short-term investments	524,622	54,061
Cash	184,683	154,783
Total investments and cash	4,278,268	3,794,473
Long-term notes receivable - affiliated	100,000	—
Accrued investment income	37,810	31,323
Premiums receivable (net of credit allowances: 2024, $(442); 2023, $(427))	717,640	850,397
Reinsurance paid loss recoverables	1,002	—
Reinsurance unpaid recoverables	14,539	5,642
Funds held by reinsureds	54,351	68,411
Deferred acquisition costs	201,864	229,168
Prepaid reinsurance premiums	40,209	11,153
Income tax asset	127,361	94,636
Other assets	11,710	4,342
TOTAL ASSETS	$ 5,584,755	$ 5,089,545
LIABILITIES:		
Reserve for losses and loss adjustment expenses	2,967,129	2,704,858
Unearned premium reserve	790,753	840,566
Losses in course of payment	46,520	58,941
Amounts due to reinsurers	38,205	9,910
Income tax payable	1,664	—
Other liabilities	38,392	45,693
Total liabilities	3,882,663	3,659,968
Contingencies (Note 8)		
SHAREHOLDER'S EQUITY:		
Common shares, par value: $1.00; 1,564,000 issued and outstanding (2024 and 2023)	1,564	1,564
Additional paid-in capital	869,851	869,851
Accumulated other comprehensive income (loss)	(128,728)	(97,435)
Retained earnings	958,051	655,597
Total Everest International Reinsurance, Ltd.'s shareholder's equity	1,700,737	1,429,577
Noncontrolling Interests	1,354	—
Total shareholder's equity	1,702,092	1,429,577
TOTAL LIABILITIES AND SHAREHOLDER'S EQUITY	$ 5,584,755	$ 5,089,545

The accompanying notes are an integral part of the consolidated financial statements.

EVEREST INTERNATIONAL REINSURANCE, LTD.
CONSOLIDATED STATEMENTS OF OPERATIONS AND COMPREHENSIVE INCOME (LOSS)

(Dollars in thousands)	Years Ended December 31, 2024	2023
REVENUES:		
Premiums earned	$ 1,245,194	$ 1,248,680
Net investment income	210,748	105,129
Net gains (losses) on investments	2,309	(16,966)
Other income (expense)	96,295	(37,022)
Total revenues	1,554,546	1,299,821
CLAIMS AND EXPENSES:		
Incurred losses and loss adjustment expenses	790,960	824,628
Commission, brokerage, taxes and fees	335,296	373,614
Other underwriting expenses	24,467	13,143
Total claims and expenses	1,150,724	1,211,385
INCOME (LOSS) BEFORE TAXES	403,822	88,436
Income tax expense (benefit)	1,603	(94,612)
INCOME BEFORE EQUITY IN NET EARNINGS OF UNCONSOLIDATED AFFILIATE	402,219	183,048
Share of net earnings (losses) of unconsolidated affiliate	234	—
NET INCOME (LOSS)	$ 402,454	$ 183,048
Less: Noncontrolling interests share of net income (loss)	(29)	—
NET INCOME (LOSS) ATTRIBUTABLE TO EVEREST INTERNATIONAL REINSURANCE, LTD.	$ 402,483	$ 183,048
Other comprehensive income (loss), net of tax:		
Unrealized appreciation (depreciation) ("URA(D)") on securities arising during the period	(13,785)	199,142
Less: reclassification adjustment for realized losses (gains) included in net income (loss)	(2,308)	16,966
Total URA(D) on securities arising during the period	(16,093)	216,108
Foreign currency translation and other adjustments	(15,199)	11,917
Total other comprehensive income (loss), net of tax	(31,292)	228,025
COMPREHENSIVE INCOME (LOSS) ATTRIBUTABLE TO EVEREST INTERNATIONAL REINSURANCE, LTD.	$ 371,161	$ 411,073
Noncontrolling interests share of comprehensive income (loss)	(116)	—
COMPREHENSIVE INCOME (LOSS)	$ 371,045	$ 411,073

The accompanying notes are an integral part of the consolidated financial statements.

EVEREST INTERNATIONAL REINSURANCE, LTD.
CONSOLIDATED STATEMENTS OF CHANGES IN SHAREHOLDER'S EQUITY

(Dollars and share amounts in thousands)	Years Ended December 31, 2024	Years Ended December 31, 2023
COMMON SHARES (shares outstanding):		
Balance, beginning of period	1,564	1,564
Issued during the period, net	—	—
Balance, end of period	1,564	1,564
COMMON SHARES (par value):		
Balance, beginning of period	$ 1,564	$ 1,564
Issued during the period, net	—	—
Balance, end of period	1,564	1,564
ADDITIONAL PAID-IN CAPITAL:		
Balance, beginning of period	869,851	869,851
Capital contribution from Parent	—	—
Balance, end of period	869,851	869,851
ACCUMULATED OTHER COMPREHENSIVE INCOME (LOSS):		
Balance, beginning of period	(97,435)	(325,460)
Net increase (decrease) during the period	(31,292)	228,025
Balance, end of period	(128,728)	(97,435)
RETAINED EARNINGS:		
Balance, beginning of period	655,597	472,549
Net income (loss)	402,454	183,048
Dividends to Parent	(100,000)	—
Balance, end of period	958,051	655,597
TOTAL EVEREST INTERNATIONAL REINSURANCE, LTD. SHAREHOLDER'S EQUITY, END OF PERIOD	$ 1,700,737	$ 1,429,577
NONCONTROLLING INTERESTS:		
Balance, beginning of period	—	—
Noncontrolling interests share of common shares	1,471	—
Noncontrolling interests share of other comprehensive income (loss)	(87)	—
Noncontrolling interests share of net income (loss)	(29)	—
Balance, end of period	1,354	—
TOTAL SHAREHOLDER'S EQUITY, END OF PERIOD	$ 1,702,092	$ 1,429,577

The accompanying notes are an integral part of the consolidated financial statements.

EVEREST INTERNATIONAL REINSURANCE, LTD.
CONSOLIDATED STATEMENTS OF CASH FLOWS

(Dollars in thousands)	Years Ended December 31, 2024	2023
CASH FLOWS FROM OPERATING ACTIVITIES:		
Net income (loss)	$ 402,454	$ 183,048
Adjustments to reconcile net income to net cash provided by operating activities:		
Decrease (increase) in premiums receivable	161,052	(16,774)
Decrease (increase) in funds held by reinsureds, net	14,060	(9,701)
Decrease (increase) in reinsurance receivables	(9,899)	(4,653)
Increase (decrease) in reserve for losses and loss adjustment expenses	262,271	514,647
Increase (decrease) in unearned premiums	(49,813)	24,944
Increase (decrease) in losses in course of payment	(12,421)	17,561
Change in equity adjustments in limited partnerships	(43,041)	(18,354)
Distribution of Limited partnership income	18,934	12,042
Change in other assets and liabilities, net	(19,294)	(75,106)
Amortization of bond premium (accrual of bond discount)	(12,532)	(1,743)
Net (gains) losses on investments	(2,309)	16,966
Equity in earnings of unconsolidated affiliate	(234)	—
Net cash provided by (used in) operating activities	709,227	642,878
CASH FLOWS FROM INVESTING ACTIVITIES		
Proceeds from fixed maturities matured/called - available for sale	202,178	242,234
Proceeds from fixed maturities sold - available for sale	2,646,110	223,384
Distributions from other invested assets	1,676,269	472,156
Cost of fixed maturities acquired - available for sale	(2,784,835)	(1,060,964)
Cost of other invested assets acquired	(1,749,488)	(602,984)
Investment in unconsolidated affiliate	(7,397)	—
Net change in short-term investments	(475,585)	(53,869)
Proceeds from (issuance of) long term notes receivable - affiliated	(100,000)	125,000
Net change in unsettled securities transactions	(160)	495
Net cash provided by (used in) investing activities	(592,908)	(654,547)
CASH FLOWS FROM FINANCING ACTIVITIES		
Dividends paid to shareholder	(100,000)	—
Net cash provided by (used in) financing activities	(100,000)	—
EFFECT OF EXCHANGE RATE CHANGES ON CASH	13,581	(3,854)
Net increase (decrease) in cash	29,900	(15,523)
Cash, beginning of period	154,783	170,306
Cash, end of period	$ 184,683	$ 154,783

The accompanying notes are an integral part of the consolidated financial statements.

NOTES TO FINANCIAL STATEMENTS

Years Ended December 31, 2024 and 2023

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

A. Business and Basis of Presentation.

Everest International Reinsurance, Ltd. (the "Company" or "Everest International"), a Bermuda insurance company and direct wholly owned subsidiary of Everest Group, Ltd. ("Group") is registered as a Class 4 general insurer. The Company's operations include the reinsuring of property and casualty products. Currently, this business is the result of quota share reinsurance agreements with the following affiliates: (1) Everest Reinsurance Company ("Everest Re"), (2) Everest Reinsurance (Bermuda), Ltd. ("Bermuda Re"), (3) Everest Reinsurance Company (Ireland) dac ("Ireland Re"), (4) Everest Insurance (Ireland) dac ("Ireland Insurance), and (5) Everest Corporate Member Limited. In 2022, the Company established a branch in Singapore, which writes insurance-based products. In 2024, the Company established a branch in Australia, which writes insurance-based products.

The accompanying consolidated financial statements have been prepared in conformity with accounting principles generally accepted in the United States of America ("GAAP"). The statements include the following direct subsidiary of the Company: Everest Compañia de Seguros Generales Colombia S.A.("Everest Colombia"). All intercompany accounts and transactions have been eliminated. All amounts are reported in United States ("U.S.") dollars. Unless noted otherwise, all tabular dollar amounts are in thousands of U.S. dollars ("U.S. dollars" or "$"). Some amounts may not reconcile due to rounding.

The preparation of financial statements in conformity with GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities (and disclosure of contingent assets and liabilities) at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Ultimate actual results could differ, possibly materially, from those estimates.

B. Investments.

Fixed maturity securities designated as available for sale reflect unrealized appreciation and depreciation, as a result of changes in fair value during the period, in shareholder's equity, net of income taxes in accumulated other comprehensive income (loss) ("AOCI") in the consolidated balance sheets. The Company reviews all of its fixed maturity, available for sale securities whose fair value has fallen below their amortized cost at the time of review. The Company then assesses whether the decline in value is due to non-credit related or credit related factors. In making its assessment, the Company evaluates the current market and interest rate environment as well as specific issuer information. Generally, a change in a security's value caused by a change in the market, interest rate or foreign exchange environment does not constitute a credit impairment, but rather a non-credit related decline in fair value which is recorded as unrealized losses in accumulated other comprehensive income (loss). If the Company determines that the decline is non-credit related and the Company intends to sell the impaired security, or it is more likely than not that the Company will be required to sell the security before an anticipated recovery in value, the Company records the entire impairment in net gains (losses) on investments in the Company's consolidated statements of operations and comprehensive income (loss). If the Company determines that a decline in a security's value is credit related and the Company does not have the intent to sell the security, and it is more likely than not that the Company will not have to sell the security before recovery in value, the Company establishes a credit allowance, equal to the estimated credit loss, which is recorded in net gains (losses) on investments in the Company's consolidated statements of operations and comprehensive income (loss). The determination of credit related or non-credit related impairment is first based on an assessment of qualitative factors, which may determine that a qualitative analysis is sufficient to support the conclusion that the present value of expected cash flows equals or exceeds the security's amortized cost basis. However, if the qualitative assessment suggests a credit loss may exist, a quantitative assessment is performed, and the amount of the allowance for a given security will generally be the difference between a discounted cash flow model and the Company's carrying value. The Company will adjust the credit allowance account for future changes in credit loss estimates for a security and record this adjustment through net gains (losses) on investments in the Company's consolidated statements of operations and comprehensive income (loss).

The Company does not create an allowance for uncollectible interest. If interest is not received when due, the interest receivable is immediately reversed and no additional interest is accrued. If future interest is received that has not been

accrued, it is recorded as income at that time. The Company's assessments are based on the issuers' current and expected future financial position, timeliness with respect to interest and/or principal payments, speed of repayments and any applicable credit enhancements or breakeven constant default rates on mortgage-backed and asset-backed securities, as well as relevant information provided by rating agencies, investment advisors and analysts.

Retrospective adjustments are employed to recalculate the values of asset-backed securities. All of the Company's asset-backed and mortgage-backed securities have a pass-through structure. Each acquisition lot is reviewed to recalculate the effective yield. The recalculated effective yield is used to derive a book value as if the new yield were applied at the time of acquisition. Outstanding principal factors from the time of acquisition to the adjustment date are used to calculate the prepayment history for all applicable securities. Conditional prepayment rates, computed with life to date factor histories and weighted average maturities, are used in the calculation of projected prepayments for pass-through security types.

Interest income on all fixed maturities are included as part of net investment income in the consolidated statements of operations and comprehensive income (loss).

Short-term investments comprise securities due to mature within one year from the date of purchase and are stated at cost, which approximates fair value.

Realized gains or losses on sales of investments are determined on the basis of identified cost. For some non-publicly traded securities, market prices are determined through the use of pricing models that evaluate securities relative to the U.S. Treasury yield curve, taking into account the issue type, credit quality, and cash flow characteristics of each security. For other non-publicly traded securities, investment managers' valuation committees will estimate fair value and in many instances, these fair values are supported with opinions from qualified independent third parties. All fair value estimates from investment managers are reviewed by the Company for reasonableness. For publicly traded securities, fair value is based on quoted market prices or valuation models that use observable market inputs. When a sector of the financial markets is inactive or illiquid, the Company may use its own assumptions about future cash flows and risk-adjusted discount rates to determine fair value.

Other invested assets include limited partnerships and other investments. Limited partnerships are accounted for under the equity method of accounting, which can be recorded on a monthly or quarterly lag.

The Company consolidates Everest Colombia, a Colombia based insurance company that is licensed to write property and casualty business within Colombia. As of December 31, 2024, the Company's economic interest in Everest Colombia was 94%. The Company applies the equity method for its investment in unconsolidated subsidiary Compañía de Seguors Generales Everest Mexico, S.A. de C.V. ("Everest Mexico"), which is a privately-held affiliated entity where quoted market prices are not available. Management has determined that the Company has the ability to exercise significant influence over operating and financial policies of the investee based on a common controllership structure under Group and has determined the equity method to be appropriate. Under the equity method, the Company initially records its investment at cost and, for each reporting period, adjusts the carrying value of the investment to recognize the proportional share of the equity-accounted affiliate's net income (loss) including changes in capital of the affiliate. Refer to Note 2.

Cash includes cash on hand. Restricted cash is included within cash in the consolidated balance sheets and represents amounts held for the benefit of third parties that is legally or contractually restricted as to its withdrawal or usage. Amounts include trust funds set up for the benefit of ceding companies.

C. Allowance for Premium Receivable and Reinsurance Recoverables.

The Company applies the Current Expected Credit Losses (CECL) methodology for estimating allowances for credit losses. The Company evaluates the recoverability of its premiums and reinsurance recoverable balances and establishes an allowance for estimated uncollectible amounts.

Premiums receivable are primarily comprised of premiums due from policyholders/ cedents. Balances are considered past due when amounts that have been billed are not collected within contractually stipulated time periods. For these balances, the allowance is estimated based on recent historical credit loss and collection experience, adjusted for current economic conditions and reasonable and supportable forecasts, when appropriate.

The Company records total credit loss expenses related to premiums receivable in Other underwriting expenses in the Company's consolidated statements of operations and comprehensive income (loss).

The allowance for uncollectible reinsurance recoverable reflects management's best estimate of reinsurance cessions that may be uncollectible in the future due to reinsurers' unwillingness or inability to pay. The allowance for uncollectible reinsurance recoverable includes an allowance for disputed balances. Based on this analysis, the Company may adjust the allowance for uncollectible reinsurance recoverable or charge off reinsurer balances that are determined to be uncollectible.

Due to the inherent uncertainties as to collection and the length of time before reinsurance recoverable become due, it is possible that future adjustments to the Company's reinsurance recoverable, net of the allowance, could be required, which could have a material adverse effect on the Company's consolidated results of operations or cash flows in a particular quarter or annual period.

The allowance is estimated as the amount of reinsurance recoverable exposed to loss multiplied by estimated factors for the probability of default. The reinsurance recoverable exposed is the amount of reinsurance recoverable net of collateral and other offsets, considering the nature of the collateral, potential future changes in collateral values, and historical loss information for the type of collateral obtained. The probability of default factors are historical insurer and reinsurer defaults for liabilities with similar durations to the reinsured liabilities as estimated through multiple economic cycles. Credit ratings are forward-looking and consider a variety of economic outcomes. The Company's evaluation of the required allowance for reinsurance recoverable considers the current economic environment as well as macroeconomic scenarios.

The Company records credit loss expenses related to reinsurance recoverable in Incurred losses and loss adjustment expenses in the Company's consolidated statements of operations and comprehensive income (loss). Write-offs of reinsurance recoverable and any related allowance are recorded in the period in which the balance is deemed uncollectible.

D. Deferred Acquisition Costs.

Acquisition costs, consisting principally of commissions and brokerage expenses and certain premium taxes and fees incurred at the time a contract or policy is issued and that vary with and are directly related to the Company's reinsurance and insurance business, are deferred and amortized over the period in which the related premiums are earned. Deferred acquisition costs are limited to their estimated realizable value by line of business based on the related unearned premiums, anticipated claims and claim expenses and anticipated investment income.

E. Reserve for Losses and Loss Adjustment Expenses.

The reserve for losses and loss adjustment expenses ("LAE") is based on individual case estimates and reports received from ceding companies. A provision is included for losses and LAE incurred but not reported ("IBNR") based on past experience. Provisions are also included for certain potential liabilities, including those relating to catastrophe exposures, COVID-19 and other exposures, for which liabilities cannot be estimated using traditional reserving techniques. See also Note 4. The reserves are reviewed periodically and any changes in estimates are reflected in earnings in the period the adjustment is made. The Company's loss and LAE reserves represent management's best estimate of the ultimate liability. Loss and LAE reserves are presented gross of reinsurance recoverable and incurred losses and LAE are presented net of reinsurance.

Accruals for commissions are established for reinsurance contracts that provide for the stated commission percentage to increase or decrease based on the loss experience of the contract. Changes in estimates for such arrangements are recorded as commission expense. Commission accruals for contracts with adjustable features are estimated based on expected loss and LAE.

F. Premium Revenues.

Written premiums are earned ratably over the periods of the related insurance and reinsurance contracts. Unearned premium reserves are established relative to the unexpired contract period. For reinsurance contracts, such reserves are established based upon reports received from ceding companies or estimated using pro rata methods based on statistical data. Reinstatement premiums represent additional premium recognized and earned at the time a loss event occurs and losses are recorded, most prevalently catastrophe related, when limits have been depleted under the original reinsurance

contract and additional coverage is granted. The recognition of reinstatement premiums is based on estimates of loss and LAE, which reflects management's judgement. Written and earned premiums and the related costs, which have not yet been reported to the Company, are estimated and accrued. Premiums are net of ceded reinsurance.

G. Prepaid Reinsurance Premiums.
Prepaid reinsurance premiums represent unearned premium reserves ceded to other reinsurers.

H. Income Taxes.
On December 27, 2023, the Government of Bermuda enacted the Corporate Income Tax Act 2023 ("The 2023 Act"), which will apply a 15% corporate income tax to certain Bermuda businesses in fiscal years beginning on or after January 1, 2025. The 2023 Act includes a provision referred to as "The Economic Transition Adjustment" (the "ETA"), which is intended to provide a fair and equitable transition into the new tax regime, and results in a deferred tax benefit for the Company. However, on January 15, 2025, the OECD issued Guidance related to "deferred tax assets arising from tax benefits provided by General Government" whereby it has restricted the utilization of those deferred tax benefits against the computation of its Pillar Two Global Minimum Taxes to approximately 20% of the originally calculated amounts and only for a grace period of two years through 2026. If the Bermuda Ministry of Finance amends The 2023 Act in response to this Guidance, the exact impact of any such amendments is uncertain but there is a risk that it results in a reduction in the Company's Deferred Tax Assets.

Under current Bermuda law through 2024, no income, withholding or capital gains taxes are imposed upon Group and its Bermuda subsidiaries. Non-Bermuda branches of Bermuda subsidiaries are subject to local taxes in the jurisdictions in which they operate.

As an accounting policy, the Company has adopted the aggregate portfolio approach for releasing disproportionate income tax effects from accumulated other comprehensive income ("AOCI").

I. Foreign Currency.
The Company transacts business in numerous currencies through affiliated entities located around the world. Movements in exchange rates related to transactions in currencies other than the Company's functional currency for monetary assets and liabilities are remeasured through the consolidated statements of operations and comprehensive income (loss) in other income (expense), except for currency movements related to available for sale fixed maturities securities, which are excluded from net income (loss) and accumulated in shareholder's equity, net of deferred taxes.

The Insurance Branches' functional currency financial statements are translated to the Company's reporting currency, U.S. dollars, using the exchange rates at the end of period for the consolidated balance sheets and the average exchange rates in effect for the reporting period for the consolidated statements of operations. Gains and losses resulting from translating the foreign currency financial statements, net of deferred income taxes, are excluded from net income (loss) and accumulated as a separate component of other comprehensive income (loss) in shareholder's equity.

J. Recent Accounting Pronouncements.

<u>Adoption of New Accounting Standards</u>
The Company did not adopt any new accounting standards that had a material impact in 2024.

<u>Future Adoption of Recently Issued Accounting Standards</u>
The Company assessed the adoption impacts of recently issued accounting standards that are effective after 2024 by the Financial Accounting Standards Board on the Company's financial statements. Additionally, the Company assessed whether there have been material updates to previously issued accounting standards that are effective after 2024. There were no accounting standards identified, other than those directly referenced below, that are expected to have a material impact to the Company.

Improvements to Income Tax Disclosures. In December 2023, the Financial Accounting Standards Board issued Accounting Standard Update No. 2023-09, which requires expanded income tax disclosures, including the disaggregation of existing disclosures related to the tax rate reconciliation and income taxes paid. The guidance is effective for annual periods beginning after December 15, 2024. Prospective application is required, with retrospective application permitted. The

Company is currently evaluating the effect the updated guidance will have on the Company's financial statement disclosures.

Disaggregation of Income Statement Expenses. In November 2024, the FASB issued Accounting Standard Update No. 2024-03, which requires additional disclosure about specific expense categories included in the income statement. The guidance is effective for annual reporting periods beginning after December 15, 2026 and interim reporting periods beginning after December 15, 2027. Prospective application is required, with retrospective application permitted. The Company is currently evaluating the effect the updated guidance will have on the Company's financial statement disclosures.

2. INVESTMENTS

The tables below present the amortized cost, allowance for credit losses, gross unrealized appreciation/(depreciation) ("URA(D)") and fair value of fixed maturity securities - available for sale for the periods indicated:

	At December 31, 2024				
(Dollars in thousands)	Amortized Cost	Allowance for Credit Losses	Unrealized Appreciation	Unrealized Depreciation	Fair Value
Fixed maturity securities - available for sale					
U.S. Treasury securities and obligations of U.S. government agencies and corporations	$ 36,682	$ —	$ 98	$ (13)	$ 36,767
U.S. corporate securities	725,145	—	2,185	(42,216)	685,114
Asset-backed securities	252,334	—	1,230	(3,223)	250,341
Mortgage-backed securities					
Commercial	104,538	—	44	(4,973)	99,608
Agency residential	269,765	—	274	(21,921)	248,118
Non-agency residential	121,264	—	392	—	121,656
Foreign government securities	246,539	—	29	(17,550)	229,017
Foreign corporate securities	1,502,088	—	585	(85,978)	1,416,695
Total fixed maturity securities - available for sale	$ 3,258,355	$ —	$ 4,836	$ (175,874)	$ 3,087,317

(Some amounts may not reconcile due to rounding.)

	At December 31, 2023				
(Dollars in thousands)	Amortized Cost	Allowance for Credit Losses	Unrealized Appreciation	Unrealized Depreciation	Fair Value
Fixed maturity securities - available for sale					
U.S. Treasury securities and obligations of U.S. government agencies and corporations	$ 26,305	$ —	$ 120	$ (412)	$ 26,014
U.S. corporate securities	793,678	—	18,455	(43,407)	768,725
Asset-backed securities	64,271	—	621	(1,497)	63,395
Mortgage-backed securities					
Commercial	110,120	—	219	(7,544)	102,795
Agency residential	563,729	—	11,458	(22,677)	552,510
Non-agency residential	—	—	—	—	—
Foreign government securities	317,871	—	5,046	(19,075)	303,843
Foreign corporate securities	1,438,714	—	24,376	(75,116)	1,387,974
Total fixed maturity securities - available for sale	$ 3,314,689	$ —	$ 60,294	$ (169,727)	$ 3,205,256

(Some amounts may not reconcile due to rounding.)

The amortized cost and fair value of fixed maturity securities - available for sale are shown in the following table by contractual maturity. As the stated maturity of such securities may not be indicative of actual maturities, the totals for mortgage-backed and asset-backed securities are shown separately.

	At December 31, 2024		At December 31, 2023	
(Dollars in thousands)	Amortized Cost	Fair Value	Amortized Cost	Fair Value
Fixed maturity securities - available for sale				
Due in one year or less	$ 74,578	$ 70,178	$ 165,299	$ 160,668
Due after one year through five years	1,911,154	1,827,975	1,379,233	1,342,374
Due after five years through ten years	450,570	403,791	838,349	788,662
Due after ten years	74,152	65,650	193,687	194,851
Asset-backed securities	252,334	250,341	64,271	63,395
Mortgage-backed securities				
Commercial	104,538	99,608	110,120	102,795
Agency residential	269,765	248,118	563,729	552,510
Non-agency residential	121,264	121,656	—	—
Total fixed maturity securities - available for sale	$ 3,258,355	$ 3,087,317	$ 3,314,689	$ 3,205,256

(Some amounts may not reconcile due to rounding.)

The changes in net URA(D) for the Company's investments are as follows:

	Years Ended December 31,	
(Dollars in thousands)	2024	2023
Increase (decrease) during the period between the fair value and cost of investments carried at fair value:		
Fixed maturity securities - available for sale	$ (61,605)	$ 216,108
Equity method investments	17,673	—
Change in URA(D), pre-tax	(43,932)	216,108
Deferred tax benefit (expense)	27,839	—
Change in unrealized appreciation (depreciation), included in shareholder's equity	$ (16,093)	$ 216,108

(Some amounts may not reconcile due to rounding.)

The tables below display the aggregate fair value and gross unrealized depreciation of fixed maturity securities - available for sale, by security type and contractual maturity, in each case subdivided according to length of time that individual securities had been in a continuous unrealized loss position for the periods indicated:

	Duration of Unrealized Loss at December 31, 2024 By Security Type					
	Less than 12 months		Greater than 12 months		Total	
(Dollars in thousands)	Fair Value	Gross Unrealized Depreciation	Fair Value	Gross Unrealized Depreciation	Fair Value	Gross Unrealized Depreciation
Fixed maturity securities - available for sale						
U.S. Treasury securities and obligations of U.S. government agencies and corporations	$ 3,247	$ (13)	$ —	$ —	$ 3,247	$ (13)
U.S. corporate securities	336,999	(13,521)	193,233	(28,695)	530,232	(42,216)
Asset-backed securities	67,300	(2,713)	9,349	(510)	76,649	(3,223)
Mortgage-backed securities						
Commercial	37,425	(3,003)	49,152	(1,971)	86,577	(4,973)
Agency residential	215,077	(21,849)	3,927	(72)	219,004	(21,921)
Foreign government securities	166,144	(5,323)	59,346	(12,227)	225,490	(17,550)
Foreign corporate securities	1,003,297	(21,914)	368,722	(64,064)	1,372,019	(85,978)
Total fixed maturity securities - available for sale	$ 1,829,489	$ (68,336)	$ 683,728	$ (107,538)	$ 2,513,217	$ (175,874)

(Some amounts may not reconcile due to rounding.)

	Duration of Unrealized Loss at December 31, 2024 By Maturity					
	Less than 12 months		Greater than 12 months		Total	
(Dollars in thousands)	Fair Value	Gross Unrealized Depreciation	Fair Value	Gross Unrealized Depreciation	Fair Value	Gross Unrealized Depreciation
Fixed maturity securities - available for sale						
Due in one year or less	$ 10,891	$ (365)	$ 29,073	$ (4,105)	$ 39,964	$ (4,470)
Due in one year through five years	1,305,421	(29,290)	381,141	(54,875)	1,686,561	(84,165)
Due in five years through ten years	176,658	(10,518)	186,775	(37,296)	363,433	(47,814)
Due after ten years	16,718	(598)	24,311	(8,711)	41,029	(9,308)
Asset-backed securities	67,300	(2,713)	9,349	(510)	76,649	(3,223)
Mortgage-backed securities	252,502	(24,852)	53,079	(2,043)	305,581	(26,894)
Total fixed maturity securities - available for sale	$ 1,829,489	$ (68,336)	$ 683,728	$ (107,538)	$ 2,513,217	$ (175,874)

(Some amounts may not reconcile due to rounding.)

The aggregate fair value and gross unrealized losses related to fixed maturity securities - available for sale in an unrealized loss position at December 31, 2024 were $2.5 billion and $175.9 million, respectively. The fair value of securities for the single issuer (the United States government) whose securities comprised the largest unrealized loss position at December 31, 2024, did not exceed 1.5% of the overall fair value of the Company's fixed maturity securities. The $68.3 million of unrealized losses related to fixed maturity securities that have been in an unrealized loss position for less than one year were generally comprised of foreign and domestic corporate securities, asset backed securities, commercial mortgage backed securities and agency residential mortgage-backed securities. Of these unrealized losses, $68.3 million were related to securities that were rated investment grade by at least one nationally recognized statistical rating agency. The $107.5 million of unrealized losses related to fixed maturity securities in an unrealized loss position for more than one year related primarily to foreign and domestic corporate securities, agency residential and commercial mortgage-backed securities and foreign government securities. All of these unrealized losses were rated investment grade by at least one nationally recognized statistical rating agency. In all instances, there were no projected cash flow shortfalls to recover the full book value of the investments and the related interest obligations. The mortgage-backed securities still have excess credit coverage and are current on interest and principal payments.

The tables below display the aggregate fair value and gross unrealized depreciation of fixed maturity securities - available for sale, by security type and contractual maturity, in each case subdivided according to length of time that individual securities had been in a continuous unrealized loss position for the periods indicated:

	Duration of Unrealized Loss at December 31, 2023 By Security Type					
	Less than 12 months		Greater than 12 months		Total	
(Dollars in thousands)	Fair Value	Gross Unrealized Depreciation	Fair Value	Gross Unrealized Depreciation	Fair Value	Gross Unrealized Depreciation
Fixed maturity securities - available for sale						
U.S. Treasury securities and obligations of U.S. government agencies and corporations	$ —	$ —	$ 22,911	$ (412)	$ 22,911	$ (412)
U.S. corporate securities	9,914	(93)	382,886	(43,314)	392,800	(43,407)
Asset-backed securities	2,978	(6)	20,638	(1,491)	23,616	(1,497)
Mortgage-backed securities						
Commercial	466	(5)	87,661	(7,538)	88,127	(7,544)
Agency residential	25,262	(170)	210,251	(22,507)	235,513	(22,677)
Non-agency residential	—	—	—	—	—	—
Foreign government securities	—	—	216,712	(19,075)	216,712	(19,075)
Foreign corporate securities	1,546	(74)	779,634	(75,042)	781,181	(75,116)
Total fixed maturity securities - available for sale	$ 40,166	$ (348)	$ 1,720,694	$ (169,380)	$ 1,760,860	$ (169,727)

(Some amounts may not reconcile due to rounding.)

	Duration of Unrealized Loss at December 31, 2023 By Maturity					
	Less than 12 months		Greater than 12 months		Total	
(Dollars in thousands)	Fair Value	Gross Unrealized Depreciation	Fair Value	Gross Unrealized Depreciation	Fair Value	Gross Unrealized Depreciation
Fixed maturity securities - available for sale						
Due in one year or less	$ 2,001	$ —	$ 127,085	$ (5,449)	$ 129,086	$ (5,449)
Due in one year through five years	6,539	(84)	776,232	(57,189)	782,771	(57,273)
Due in five years through ten years	2,921	(81)	462,143	(65,925)	465,064	(66,006)
Due after ten years	—	—	36,683	(9,281)	36,683	(9,281)
Asset-backed securities	2,978	(6)	20,638	(1,491)	23,616	(1,497)
Mortgage-backed securities	25,728	(176)	297,912	(30,045)	323,640	(30,221)
Total fixed maturity securities - available for sale	$ 40,166	$ (348)	$ 1,720,694	$ (169,380)	$ 1,760,860	$ (169,727)

(Some amounts may not reconcile due to rounding.)

The aggregate fair value and gross unrealized losses related to fixed maturity securities - available for sale in an unrealized loss position at December 31, 2023 were $1.8 billion and $169.7 million, respectively. The fair value of securities for the single issuer (the United States government) whose securities comprised the largest unrealized loss position at December 31, 2023, did not exceed 3.3% of the overall fair value of the Company's fixed maturity securities. The $0.3 million of unrealized losses related to fixed maturity securities that have been in an unrealized loss position for less than one year were generally comprised of foreign and domestic corporate securities and agency residential mortgage-backed securities. Of these unrealized losses, $0.3 million were related to securities that were rated investment grade by at least one nationally recognized statistical rating agency. The $169.4 million of unrealized losses related to fixed maturity securities in an unrealized loss position for more than one year related primarily to foreign and domestic corporate securities, agency residential and commercial mortgage-backed securities and foreign government securities. All of these unrealized losses were rated investment grade by at least one nationally recognized statistical rating agency. In all instances, there were no projected cash flow shortfalls to recover the full book value of the investments and the related interest obligations. The mortgage-backed securities still have excess credit coverage and are current on interest and principal payments.

The components of net investment income are presented in the table below for the periods indicated:

(Dollars in thousands)	Years Ended December 31, 2024	2023
Fixed maturity securities	$ 124,297	$ 84,546
Short-term investments and cash	9,029	1,213
Other invested assets		
Limited partnerships	75,199	17,284
Other	4,457	1,925
Gross investment income before adjustments	212,982	104,968
Interest income from Parent	48	2,140
Gross investment income	213,030	107,108
Investment expenses	2,282	1,979
Net investment income	$ 210,748	$ 105,129

(Some amounts may not reconcile due to rounding.)

The Company records results from its limited partnership investment on the equity method of accounting with changes in value reported through net investment income. The net investment income from limited partnerships is dependent upon the Company's share of the net asset values of interests underlying each limited partnership. Due to the timing of receiving financial information from this partnership, the results are generally reported on a quarter lag. If the Company determines there has been a significant decline in value of the limited partnership during this lag period, a loss will be recorded in the period in which the Company identifies the decline.

Variable Interest Entities ("VIE")

The Company is engaged with various special purpose entities and other entities that are deemed to be VIEs primarily as an investor through normal investment activities but also as an investment manager. A VIE is an entity that either has investors that lack certain essential characteristics of a controlling financial interest, such as simple majority kick-out rights, or lacks sufficient funds to finance its own activities without financial support provided by other entities. The Company performs ongoing qualitative assessments of its VIEs to determine whether the Company has a controlling financial interest in the VIE and therefore is the primary beneficiary. The Company is deemed to have a controlling financial interest when it has both the ability to direct the activities that most significantly impact the economic performance of the VIE and the obligation to absorb losses or right to receive benefits from the VIE that could potentially be significant to the VIE. Based on the Company's assessment, if it determines it is the primary beneficiary, the Company consolidates the VIE in the Company's Financial Statements. As of December 31, 2024 and 2023, the Company did not hold any securities for which it is the primary beneficiary.

The Company, through normal investment activities, makes passive investments in general and limited partnerships and other alternative investments. For these non-consolidated VIEs, the Company has determined it is not the primary beneficiary as it has no ability to direct activities that could significantly affect the economic performance of the investments. The Company's maximum exposure to loss as of December 31, 2024 and 2023 is limited to the total carrying value of $451.3 million and $354.7 million, respectively, which are included in limited partnerships and other alternative investments in Other Invested Assets in the Company's Consolidated Balance Sheets. The Company had contractual commitments to invest up to an additional $542.9 million in limited partnerships at December 31, 2024. The commitment will be funded when called in accordance with the partnership agreements, which have an investment period that expire, unless extended through in 2034, for new investments. Following the investment period, these capital commitments may be called by the partnerships for follow-on investments, management fees and operating expenses. These investments are generally of a passive nature in that the Company does not take an active role in management.

In addition, the Company makes passive investments in structured securities issued by VIEs for which the Company is not the manager. These investments are included in asset-backed securities, which includes collateralized loan obligations and are classified as fixed maturities - available for sale. The Company has not provided financial or other support with respect to these investments other than its original investment. For these investments, the Company determined it is not the primary beneficiary due to the relative size of the Company's investment in comparison to the principal amount of the structured securities issued by the VIEs, the level of credit subordination which reduces the Company's obligation to absorb losses or right to receive benefits and the Company's inability to direct the activities that most significantly impact

the economic performance of the VIEs. The Company's maximum exposure to loss on these investments is limited to the amount of the Company's investment.

The components of net gains (losses) on investments are presented in the table below for the periods indicated:

(Dollars in thousands)	Years Ended December 31, 2024	2023
Fixed maturity securities:		
Gains (losses) from dispositions	$ 2,308	$ (16,966)
Short-term investments gain (loss)	1	—
Total net gains (losses) on investments	$ 2,309	$ (16,966)

(Some amounts may not reconcile due to rounding.)

The proceeds and split between gross gains and losses, from maturities and dispositions of fixed maturity securities are presented in the table below for the periods indicated:

(Dollars in thousands)	Years Ended December 31, 2024	2023
Proceeds from sales of fixed maturity securities	$ 2,646,110	$ 223,384
Gross gains from dispositions	52,158	1,325
Gross losses from dispositions	(49,850)	(18,292)

Investment in unconsolidated affiliate

The Company holds an investment in Everest Mexico, a subsidiary of Group that was incorporated in 2024. Everest Mexico is a Mexico based insurance company that is licensed to write property and casualty business within Mexico. As of December 31, 2024, our economic interest in Everest Mexico was 50% and the carrying amount of our investment in the unconsolidated affiliate was $7 million.

For the year ended December 31, 2024, $234.5 thousand of earnings of the equity method investee is reflected within the share of net earnings (losses) of unconsolidated affiliate in the consolidated statements of operations.

The table below presents a summary of the total financial results of Everest Mexico for the periods indicated:

(Dollars in thousands)	Years Ended December 31, 2024
Total assets	$ 16,026
Total Liabilities	2,160
Total revenues	1,994
Income (loss) before taxes	469
Net income (loss)	469

3. FAIR VALUE

GAAP guidance regarding fair value measurements address how companies should measure fair value when they are required to use fair value measures for recognition or disclosure purposes under GAAP and provides a common definition of fair value to be used throughout GAAP. It defines fair value as the price that would be received to sell an asset or paid to transfer a liability in an orderly fashion between market participants at the measurement date. In addition, it establishes a three-level valuation hierarchy for the disclosure of fair value measurements. The valuation hierarchy is based on the transparency of inputs to the valuation of an asset or liability. The level in the hierarchy within which a given fair value measurement falls is determined based on the lowest level input that is significant to the measurement, with Level 1 being the highest priority and Level 3 being the lowest priority.

The levels in the hierarchy are defined as follows:

Level 1: Inputs to the valuation methodology are observable inputs that reflect unadjusted quoted prices for identical assets or liabilities in an active market;

Level 2: Inputs to the valuation methodology include quoted prices for similar assets and liabilities in active markets, and inputs that are observable for the asset or liability, either directly or indirectly, for substantially the full term of the financial instrument;

Level 3: Inputs to the valuation methodology are unobservable and significant to the fair value measurement.

The Company's fixed maturity securities are managed both internally and on an external basis by independent, professional investment managers using portfolio guidelines approved by the Company. The Company obtains prices from nationally recognized pricing services. These services seek to utilize market data and observations in their evaluation process. These services use pricing applications that vary by asset class and incorporate available market information and when fixed maturity securities do not trade on a daily basis the services will apply available information through processes such as benchmark curves, benchmarking of like securities, sector groupings and matrix pricing. In addition, they use model processes, such as the Option Adjusted Spread model to develop prepayment and interest rate scenarios for securities that have prepayment features.

The Company does not make any changes to prices received from the pricing services. In addition, the Company has procedures in place to review the reasonableness of the prices from the service providers and may request verification of the prices. The Company also continually performs quantitative and qualitative analysis of prices, including but not limited to initial and ongoing review of pricing methodologies, review of prices obtained from pricing services and third party investment asset managers, review of pricing statistics and trends, and comparison of prices for certain securities with a secondary price source for reasonableness. No material variances were noted during these price validation procedures. In limited situations, where financial markets are inactive or illiquid, the Company may use its own assumptions about future cash flows and risk-adjusted discount rates to determine fair value. The Company made no such assumptions at December 31, 2024 and 2023.

All categories of fixed maturity securities listed in the tables below are generally categorized as level 2, since a particular security may not have traded but the pricing services are able to use valuation models with observable market inputs such as interest rate yield curves and prices for similar fixed maturity securities in terms of issuer, maturity and seniority. For foreign government securities and foreign corporate securities, the fair values provided by the third party pricing services in local currencies, and where applicable, are converted to U.S. dollars using currency exchange rates from nationally recognized sources.

The composition and valuation inputs for the presented fixed maturities categories are as follows:

- U.S. Treasury securities and obligations of U.S. government agencies and corporations are primarily comprised of U.S. Treasury bonds and the fair value is based on observable market inputs such as quoted prices, reported trades, quoted prices for similar issuances or benchmark yields;

- Corporate securities are primarily comprised of U.S. corporate and public utility bond issuances and the fair values are based on observable market inputs such as quoted market prices, quoted prices for similar securities, benchmark yields and credit spreads;

- Asset-backed and mortgage-backed securities fair values are based on observable inputs such as quoted prices, reported trades, quoted prices for similar issuances or benchmark yields and cash flow models using observable inputs such as prepayment speeds, collateral performance and default spreads;

- Foreign government securities are comprised of global non-U.S. sovereign bond issuances and the fair values are based on observable market inputs such as quoted market prices, quoted prices for similar securities and models with observable inputs such as benchmark yields and credit spreads and then, where applicable, converted to U.S. dollars using an exchange rate from a nationally recognized source;

- Foreign corporate securities are comprised of global non-U.S. corporate bond issuances and the fair values are based on observable market inputs such as quoted market prices, quoted prices for similar securities and models with observable inputs such as benchmark yields and credit spreads and then, where applicable, converted to U.S. dollars using an exchange rate from a nationally recognized source.

The following tables present the fair value measurement levels for all assets, which the Company has recorded at fair value as of the periods indicated:

		Fair Value Measurement Using:		
(Dollars in thousands)	December 31, 2024	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Assets:				
Fixed maturities, fair value				
U.S. Treasury securities and obligations of U.S. government agencies and corporations	$ 36,767	$ —	$ 36,767	$ —
U.S. corporate securities	685,114	—	685,114	—
Asset-backed securities	250,341	—	250,341	—
Mortgage-backed securities				
Commercial	99,608	—	99,608	—
Agency residential	248,118	—	248,118	—
Non-agency residential	121,656	—	121,656	—
Foreign government securities	229,017	—	229,017	—
Foreign corporate securities	1,416,695	—	1,416,695	—
Total fixed maturities, fair value	$ 3,087,317	$ —	$ 3,087,317	$ —

(Some amounts may not reconcile due to rounding.)

(Dollars in thousands)	December 31, 2023	Fair Value Measurement Using: Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Assets:				
Fixed maturities, fair value				
U.S. Treasury securities and obligations of U.S. government agencies and corporations	$ 26,014	$ —	$ 26,014	$ —
U.S. corporate securities	768,725	—	768,725	—
Asset-backed securities	63,395	—	63,395	—
Mortgage-backed securities				
Commercial	102,795	—	102,795	—
Agency residential	552,510	—	552,510	—
Non-agency residential	—	—	—	—
Foreign government securities	303,843	—	303,843	—
Foreign corporate securities	1,387,974	—	1,387,974	—
Total fixed maturities, fair value	$ 3,205,256	$ —	$ 3,205,256	$ —

(Some amounts may not reconcile due to rounding.)

There were no investments under Level 3 valued using significant unobservable inputs nor transfers of assets in/(out) of Level 3 during 2024 and 2023.

Financial Instruments Disclosed, But Not Reported, at Fair Value

Certain financial instruments disclosed, but not reported, at fair value are excluded from the fair value hierarchy tables above. Short-term investments are stated at cost, which approximates fair value. See Note 1.

4. RESERVE FOR LOSSES AND LAE

Reserve for losses and LAE.
The following table provides a roll forward of the Company's beginning and ending reserve for losses and LAE and is summarized for the periods indicated:

	At December 31,	
(Dollars in thousands)	2024	2023
Gross reserves at January 1	$ 2,704,858	$ 2,190,211
Less reinsurance recoverables on unpaid losses	(5,642)	(989)
Net reserves at January 1	2,699,216	2,189,222
Incurred related to:		
Current year	829,787	812,312
Prior years	(38,827)	12,316
Total incurred losses and LAE	790,960	824,628
Paid related to:		
Current year	30,836	69,795
Prior years	433,795	340,915
Total paid losses and LAE	464,631	410,709
Foreign exchange/translation adjustment	(72,954)	96,075
Net reserves at December 31	2,952,591	2,699,216
Plus reinsurance recoverables on unpaid losses	14,538	5,642
Gross reserves at December 31	$ 2,967,129	$ 2,704,858

(Some amounts may not reconcile due to rounding.)

Prior years' incurred losses decreased by $38.8 million and increased by $12.3 million for the years ended December 31, 2024 and 2023, respectively. The changes in both 2024 and 2023 were primarily due to loss development under the affiliated quota share agreements.

The following is information about incurred and paid claims development as of December 31, 2024, net of reinsurance, as well as cumulative claim frequency and the total of incurred but not reported liabilities (IBNR) plus expected development on reported claims included within the net incurred claims amounts. The Company's loss activity has been disaggregated into casualty and property business. The casualty and property segregation results in groups that have homogeneous loss development characteristics and are large enough to represent credible trends. Generally, casualty claims take longer to be reported and settled, resulting in longer payout patterns and increased volatility. Property claims on the other hand, tend to be reported and settled quicker and therefore tend to exhibit less volatility. The property business is more exposed to catastrophe losses, which can result in year over year fluctuations in incurred claims depending on the frequency and severity of catastrophes claims in any one accident year.

The information about incurred and paid claims development for the years ended December 31, 2015 to December 31, 2023 is presented as supplementary information.

The Cumulative Number of Reported Claims is not shown, as it is impractical to provide the information. The loss activity includes pro rata contracts for which ceding companies provide only summary information via a bordereau. This summary information does not include the number of reported claims underlying the paid and reported losses. Therefore, it is not possible to provide this information.

Reconciliation of the Disclosure of Incurred and Paid Claims Development to the Liability for Unpaid Claims and Claim Adjustment Expenses

The reconciliation of the net incurred and paid claims development tables to the liability for claims and claim adjustment expenses in the consolidated statement of financial position is as follows:

(Dollars in thousands)	December 31, 2024
Net outstanding liabilities	
Casualty	$ 2,346,340
Property	606,251
Liabilities for unpaid claims and claim adjustment expenses, net of reinsurance	2,952,591
Reinsurance recoverable on unpaid claims	
Casualty	14,539
Property	—
Total reinsurance recoverable on unpaid claims	14,539
Total gross liability for unpaid claims and claim adjustment expense	$ 2,967,129

(Some amounts may not reconcile due to rounding.)

The following tables present the ultimate loss and allocated LAE and the paid loss and allocated LAE, net of reinsurance for casualty and property, as well as the average annual percentage payout of incurred claims by age, net of reinsurance for each of our disclosed lines of business:

Casualty Business

	Ultimate Incurred Loss and Allocated Loss Adjustment Expenses, Net of reinsurance Years Ended December 31,										At December 31, 2024	
Accident Year	2015 (unaudited)	2016 (unaudited)	2017 (unaudited)	2018 (unaudited)	2019 (unaudited)	2020 (unaudited)	2021 (unaudited)	2022 (unaudited)	2023 (unaudited)	2024	Total of IBNR Liabilities Plus Expected Development on Reported Claims	Cumulative Number of Reported Claims
(Dollars in thousands)												
2015	$ 90,202	$ 87,960	$ 85,543	$ 84,488	$ 84,908	$ 80,803	$ 79,655	$ 81,689	$ 81,665	$ 81,899	$ 192	N/A
2016		89,701	94,510	94,577	94,770	93,423	92,179	105,064	110,471	111,160	822	N/A
2017			112,579	125,848	111,652	116,220	120,660	132,877	145,586	146,991	3,181	N/A
2018				158,640	165,645	168,909	168,864	172,974	189,660	197,352	19,170	N/A
2019					202,993	213,770	213,693	211,083	219,059	228,306	44,111	N/A
2020						231,370	295,058	281,997	277,128	270,830	105,028	N/A
2021							354,816	355,600	347,709	322,901	181,401	N/A
2022								541,078	547,105	590,293	438,160	N/A
2023									493,226	423,424	339,348	N/A
2024										584,365	522,131	N/A
										$ 2,957,521		

(Some amounts may not reconcile due to rounding.)

	Cumulative Paid Loss and Allocated Loss Adjustment Expenses, Net of Reinsurance									
	Years Ended December 31,									
Accident Year	2015 (unaudited)	2016 (unaudited)	2017 (unaudited)	2018 (unaudited)	2019 (unaudited)	2020 (unaudited)	2021 (unaudited)	2022 (unaudited)	2023 (unaudited)	2024
(Dollars in thousands)										
2015	$ 4,956	$ 23,056	$ 30,330	$ 37,425	$ 41,287	$ 46,960	$ 54,437	$ 59,291	$ 61,492	$ 68,184
2016		19,120	28,427	36,325	42,482	50,634	57,552	67,453	72,906	87,548
2017			9,725	23,250	33,475	45,903	61,142	70,191	79,406	106,958
2018				10,662	37,160	47,508	67,386	79,329	89,104	128,627
2019					23,080	31,341	48,122	59,719	75,942	119,128
2020						10,630	5,744	36,771	37,934	94,654
2021							11,852	26,566	60,060	81,935
2022								27,847	48,620	85,156
2023									9,627	26,519
2024										16,266
										$ 814,975
All outstanding liabilities prior to 2015, net of reinsurance										203,794
Liabilities for claims and claim adjustment expenses, net of reinsurance										$ 2,346,340

(Some amounts may not reconcile due to rounding.)

	Average Annual Percentage Payout of Incurred Loss by Age, Net of Reinsurance (unaudited)									
Years	1	2	3	4	5	6	7	8	9	10
Casualty	4.9 %	5.2 %	7.9 %	5.9 %	10.8 %	9.7 %	12.3 %	11.1 %	8.7 %	8.2 %

Property Business

	Ultimate Incurred Loss and Allocated Loss Adjustment Expenses, Net of reinsurance										At December 31, 2024	
	Years Ended December 31,										Total of IBNR Liabilities Plus Expected Development on Reported Claims	Cumulative Number of Reported Claims
Accident Year	2015 (unaudited)	2016 (unaudited)	2017 (unaudited)	2018 (unaudited)	2019 (unaudited)	2020 (unaudited)	2021 (unaudited)	2022 (unaudited)	2023 (unaudited)	2024		
(Dollars in thousands)												
2015	$ 43,055	$ 40,495	$ 36,879	$ 37,363	$ 36,392	$ 38,696	$ 39,708	$ 39,895	$ 40,155	$ 40,155	$ 135	N/A
2016		49,780	43,542	43,418	43,871	44,980	46,186	46,567	46,938	46,822	145	N/A
2017			75,133	70,055	59,417	57,796	51,407	49,542	50,573	50,833	170	N/A
2018				72,707	66,417	60,374	60,780	53,663	54,911	55,282	506	N/A
2019					77,396	74,645	77,463	74,284	74,132	75,162	1,708	N/A
2020						199,415	137,783	153,169	147,722	148,970	35,395	N/A
2021							282,291	300,150	293,846	293,694	34,599	N/A
2022								306,327	302,510	227,063	36,348	N/A
2023									84,095	147,791	109,666	N/A
2024										153,918	117,154	N/A
										$ 1,239,688		

(Some amounts may not reconcile due to rounding.)

	Cumulative Paid Loss and Allocated Loss Adjustment Expenses, Net of Reinsurance									
	Years Ended December 31,									
	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Accident Year	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	
(Dollars in thousands)										
2015	$ 9,700	$ 22,826	$ 28,371	$ 32,385	$ 33,540	$ 35,696	$ 36,147	$ 36,729	$ 37,028	$ 37,903
2016		7,560	22,812	31,716	37,086	39,509	41,749	42,116	42,502	42,974
2017			9,312	29,722	39,264	45,222	46,952	48,879	54,329	54,256
2018				12,951	30,110	38,510	42,907	46,236	53,034	54,039
2019					11,299	32,847	44,076	50,933	54,661	64,449
2020						14,813	49,014	63,908	65,838	73,538
2021							16,908	94,592	147,785	209,966
2022								20,245	84,599	122,353
2023									5,154	19,691
2024										7,414
										$ 686,583
All outstanding liabilities prior to 2015, net of reinsurance										53,145
Liabilities for claims and claim adjustment expenses, net of reinsurance										$ 606,251

(Some amounts may not reconcile due to rounding.)

	Average Annual Percentage Payout of Incurred Loss by Age, Net of Reinsurance (unaudited)									
Years	1	2	3	4	5	6	7	8	9	10
Property	9.3 %	25.6 %	15.9 %	12.8 %	4.8 %	8.5 %	3.8 %	0.7 %	0.9 %	2.2 %

Reserving Methodology

The Company maintains reserves equal to management's estimated ultimate liability for losses and LAE for reported and unreported claims for our insurance and reinsurance businesses. Because reserves are based on estimates of ultimate losses and LAE by underwriting or accident year, the Company uses a variety of statistical and actuarial techniques to monitor reserve adequacy over time, evaluate new information as it becomes known, and adjust reserves whenever an adjustment appears warranted. The Company considers many factors when setting reserves including: (1) exposure base and projected ultimate premium; (2) expected loss ratios by product and class of business, which are developed collaboratively by underwriters and actuaries; (3) actuarial methodologies and assumptions which analyze loss reporting and payment experience, reports from ceding companies and historical trends, such as reserving patterns, loss payments, and product mix; (4) current legal interpretations of coverage and liability; and (5) economic conditions. Management's best estimate is developed through collaboration with actuarial, underwriting, claims, legal and finance departments and culminates with the input of reserve committees. Each segment reserve committee includes the participation of the relevant parties from actuarial, finance, claims and segment senior management. Reserves are further reviewed by Everest's Chief Reserving Actuary and senior management. The objective of such process is to determine a single best estimate viewed by management to be the best estimate of its ultimate loss liability. Actual loss and LAE ultimately paid may deviate, perhaps substantially, from such reserves. Net income will be impacted in a period in which the change in estimated ultimate loss and LAE is recorded.

The detailed data required to evaluate ultimate losses for the Company's insurance business is accumulated from its underwriting and claims systems. Reserving for reinsurance requires evaluation of loss information received from ceding companies. Ceding companies report losses in many forms depending on the type of contract and the agreed or contractual reporting requirements. Generally, pro rata contracts require the submission of a monthly/quarterly account, which includes premium and loss activity for the period with corresponding reserves as established by the ceding company. This information is recorded in the Company's records. For certain pro rata contracts, the Company may require a detailed loss report for claims that exceed a certain dollar threshold or relate to a particular type of loss. Excess of loss and facultative contracts generally require individual loss reporting with precautionary notices provided when a loss reaches a significant percentage of the attachment point of the contract or when certain causes of loss or types of injury occur. Experienced Claims staff handle individual loss reports and supporting claim information. Based on evaluation of a claim, the Company may establish additional case reserves in addition to the case reserves reported by the ceding company. To ensure ceding companies are submitting required and accurate data, Everest's Underwriting,

Claim, Reinsurance Accounting, and Internal Audit departments perform various reviews of ceding companies, particularly larger ceding companies, including on-site audits.

The Company segments reserves into exposure groupings for actuarial analysis. The Company assigns business to exposure groupings so that the underlying exposures have reasonably homogeneous loss development characteristics and are large enough to facilitate credible estimation of ultimate losses. The Company periodically reviews its exposure groupings and may change groupings over time as business changes. The Company currently uses approximately 250 exposure groups to develop reserve estimates. One of the key selection characteristics for the exposure groupings is the historical duration of the claims settlement process. Business in which claims are reported and settled relatively quickly are commonly referred to as short tail lines, principally property lines. Casualty claims tend to take longer to be reported and settled and casualty lines are generally referred to as long tail lines. Estimates of ultimate losses for shorter tail lines, with the exception of loss estimates for large catastrophic events, generally exhibit less uncertainty than those for the longer tail lines.

The Company uses a variety of actuarial methodologies, such as the expected loss ratio method, chain ladder methods, and Bornhuetter-Ferguson methods, supplemented by judgment where appropriate, to estimate ultimate loss and LAE for each exposure group.

Expected Loss Ratio Method: The expected loss ratio method uses earned premium times an expected loss ratio to calculate ultimate losses for a given underwriting or accident year. This method relies entirely on expectation to project ultimate losses with no consideration given to actual losses. As such, it may be appropriate for an immature underwriting or accident year where few, if any, losses have been reported or paid, but less appropriate for a more mature year.

Chain Ladder Method: Chain ladder methods use a standard loss development triangle to project ultimate losses. Age-to-age development factors are selected for each development period and combined to calculate age-to-ultimate development factors which are then applied to paid or reported losses to project ultimate losses. This method relies entirely on actual paid or reported losses to project ultimate losses. No other factors such as changes in pricing or other expectations are taken into account. It is most appropriate for groups with homogeneous, stable experience where past development patterns are expected to continue in the future. It is least appropriate for groups which have changed significantly over time or which are more volatile.

Bornhuetter-Ferguson Method: The Bornhuetter-Ferguson method is a combination of the expected loss ratio method and the chain ladder method. Ultimate losses are projected based partly on actual paid or reported losses and partly on expectation. IBNR reserves are calculated using earned premium, an a priori loss ratio, and selected age-to-age development factors and added to actual reported (paid) losses to determine ultimate losses. It is more responsive to actual reported or paid development than the expected loss ratio method but less responsive than the chain ladder method.

For both short and long tail lines, the Company supplements these general approaches with analytically based judgments. Although the Company uses similar actuarial methods for both short tail and long tail lines, the faster reporting of experience for the short tail lines allows the Company to have greater confidence in its estimates of ultimate losses at an earlier stage than for long tail lines. For immature underwriting or accident years, the initial expected loss ratios are key inputs that involve management's judgment and are based on a variety of factors, including: (1) expected loss ratios developed during the Company's pricing process; (2) historical loss ratios adjusted for rate change and trend; and (3) industry benchmarks for similar business. These judgments take into account management's view of past, current and future factors that may influence ultimate losses, including: (1) market conditions; (2) changes in the business underwritten; (3) changes in timing of the emergence of claims; and (4) other factors. The determination of when reported losses are sufficient and credible to warrant selection of an ultimate loss ratio different from the initial expected loss ratio also requires judgment.

Carried reserves at each reporting date are the management's best estimate of ultimate unpaid losses and LAE at that date. The Company completes detailed reserve studies for each exposure group annually for both reinsurance and insurance operations. The completed annual reserve studies are "rolled-forward" for each accounting period until the subsequent reserve study is completed. Analyzing the roll-forward process involves comparing actual reported losses to expected losses based on the most recent reserve study. The Company analyzes significant variances between actual and expected losses and post adjustments to its reserves as warranted.

Certain reserves, including losses from widespread catastrophic events and COVID-19 related losses, cannot be estimated using traditional actuarial methods. Rather, loss and LAE reserves are estimated by management by completing an in-depth analysis of the individual contracts which may potentially be impacted by the loss. The analysis uses inputs from various sources and methodology, to build up a comprehensive perspective. Such analysis generally involves: (1) estimating the size of insured industry losses; (2) reviewing portfolios to identify contracts which are exposed; (3) reviewing information reported or otherwise provided by customers and brokers; (4) discussing the loss with customers and brokers; and (5) estimating the ultimate expected cost to settle all claims and administrative costs arising from the loss on a contract-by-contract basis and in aggregate for the event. Due to the inherent uniqueness or specific nature of a catastrophic event, each event has its own unique assessment, and different weights may be applied to various inputs based on management's judgment. Once a loss has occurred, during the then current reporting period, the Company records its best estimate of the ultimate expected cost to settle all claims arising from the loss. The Company's estimate of loss and LAE reserves is then determined by deducting cumulative paid losses from its estimate of the ultimate expected loss. The Company's estimate of IBNR is determined by deducting cumulative paid losses, case reserves and additional case reserves from its estimate of the ultimate expected loss.

Because catastrophe losses are typically due to prominent, public events such as hurricanes and earthquakes, the Company is often able to use independent reports as part of its loss reserve estimation process. The Company also reviews catastrophe bulletins published by various statistical modeling agencies to assist in determining the size of the industry loss, although these reports may not be available for some time after an event. For smaller events including localized severe weather events such as windstorms, hail, ice, snow, flooding, freezing and tornadoes, which are not necessarily prominent, public occurrences, the Company initially places greater reliance on catastrophe bulletins published by statistical modeling agencies to assist in determining what events occurred during the reporting period than the Company does for large events. This includes reviewing catastrophe bulletins published by Property Claim Services for U.S. catastrophes. The Company sets its initial estimates of reserves for loss and LAE for these smaller events based on a combination of its historical market share for these types of losses and the estimate of the total insured industry property losses as reported by statistical modeling agencies, although management may make significant adjustments based on the Company's current exposure to the geographic region involved as well as the size of the loss and the peril involved.

In general, reserves for the Company's more recent large losses are subject to greater uncertainty and, therefore, greater potential variability, and are likely to experience material changes from one period to the next. This is due to the uncertainty as to the size of the industry losses, uncertainty as to which contracts have been exposed, uncertainty due to complex legal and coverage issues that can arise out of large or complex losses and uncertainty as to the magnitude of losses and LAE incurred by the Company's customers. As the Company's losses age, more information becomes available, and the Company believes its estimates become more certain.

5. REINSURANCE

The Company engages in reinsurance transactions with Everest Re, Bermuda Re, Ireland Re, Ireland Insurance and Everest Corporate Member Limited primarily driven by enterprise risk and capital management considerations under which business is assumed or ceded at market rates and terms. Such reinsurance does not relieve the Company of its obligation to policyholders. The majority of the Company's business is derived from assumed inter-affiliate reinsurance agreements. All of the Company's retrocessions are with an affiliate.

Balances are considered past due when amounts that have been billed are not collected within contractually stipulated time periods, generally 30, 60 or 90 days. To manage reinsurer credit risk, a reinsurance security review committee evaluates the credit standing, financial performance, management and operational quality of each potential reinsurer. In placing reinsurance, the Company considers the nature of the risk reinsured, including the expected liability payout duration, and establishes limits tiered by reinsurer credit rating.

Where its contracts permit, the Company secures future claim obligations with various forms of collateral or other credit enhancement, including irrevocable letters of credit, secured trusts, funds held accounts and group-wide offsets.

See Note 1C for discussion of allowance on reinsurance recoverables.

Insurance companies, including reinsurers, are regulated and hold risk-based capital to mitigate the risk of loss due to economic factors and other risks. Non-U.S. reinsurers are either subject to a capital regime substantively equivalent to domestic insurers or we hold collateral to support collection of reinsurance receivable. As a result, there is limited history of losses from insurer defaults.

Premiums written and earned and incurred losses and LAE are comprised of the following for the periods indicated:

	Years Ended December 31,	
(Dollars in thousands)	2024	2023
Written premiums:		
Direct	$ 73,823	$ 15,468
Assumed	1,147,239	1,262,353
Ceded	(56,359)	(16,009)
Net written premiums	$ 1,164,703	$ 1,261,812
Premiums earned:		
Direct	$ 32,343	$ 8,244
Assumed	1,238,984	1,250,160
Ceded	(26,133)	(9,724)
Net premiums earned	$ 1,245,194	$ 1,248,680
Incurred losses and LAE:		
Direct	$ 33,382	$ 17,038
Assumed	767,437	812,191
Ceded	(9,859)	(4,601)
Net incurred losses and LAE	$ 790,960	$ 824,628

(Some amounts may not reconcile due to rounding.)

Transactions with Affiliated Entities

Everest Re had whole account quota share reinsurance agreements in place with the Company from 2004 through the end of 2009. Quota share percentages ranged from 2% to 8% depending on the year. As of December 31, 2009, the quota share reinsurance agreements between Everest Re and the Company were not renewed and the existing quota shares were put into run-off. As of December 31, 2024 and as of December 31, 2023, the Company had assumed loss reserves of $7.7 million and $7.0 million in connection with these agreements.

Ireland Re had whole account quota share reinsurance agreements in place with the Company from January 1, 2009 to December 31, 2009 and from 2011 through the end of 2022. Quota share percentages ranged from 50% to 100% depending on the year. As of December 31, 2022, the quota share reinsurance agreements between Ireland Re and the Company were not renewed and the existing quota shares were put into run-off. As of December 31, 2024 and as of December 31, 2023, the Company had assumed loss reserves of $436.7 million and $693.3 million in connection with these agreements.

Bermuda Re (U.K. branch) entered into a continuous, whole account quota share reinsurance agreement with the Company effective January 1, 2006. This agreement covers property business and is renewable until terminated. Quota share percentages ranged from 30% to 70% depending on the year. As of December 31, 2024 and 2023, the Company had assumed loss reserves of $2.4 billion and $1.9 billion in connection with these agreements.

Ireland Insurance had whole account quota share reinsurance agreements in place with the Company from 2017 through 2022. Quota share percentages were variable depending on the year. As of June 30, 2022, the quota share reinsurance agreements between Ireland Insurance and the Company were not renewed and the existing quota shares were put into run-off. As of December 31, 2024 and as of December 31, 2023, the Company had assumed loss reserves of $88.1 million and $91.4 million in connection with these agreements.

Bermuda Re entered into a 20% whole account quota share reinsurance agreement with Everest International (Singapore branch) effective January 1, 2024 through January 1, 2025. This agreement covers property and casualty business.

Bermuda Re entered into a 50% whole account quota share reinsurance agreement with Everest International (Australia Branch), effective May 16, 2024 through July 1, 2025. This agreement covers property, casualty and non-life business.

Everest Re entered into a whole account quota share reinsurance agreement with Everest Colombia, effective July 1, 2024 through June 30, 2025. This agreement covers property and casualty business. Quota share percentages vary based on the line of business for the premium written.

Everest Re entered into a 99% whole account quota share reinsurance agreement with Everest Mexico, effective June 7, 2024 through July 1, 2025. This agreement covers property and casualty business. Effective January 1, 2025, the quota share percentage was amended to 99.7% for real estate fund business and 99% for all remaining lines of property and casualty business.

Everest Re entered into a per risk and per occurrence and excess of loss reinsurance contract with Everest International (Australia Branch), effective May 16, 2024 through June 30, 2025. The contract provides Everest International (Australia Branch) with up to A$30.0 million of reinsurance coverage for each risk or occurrence above A$8.0 million. Everest International (Australia Branch) will pay Everest Re 11% of net earned premium for this coverage.

Effective December 15, 2023, the Company entered into an aggregate stop loss reinsurance contract ("stop loss agreement") with Everest Corporate Member Limited. Through the stop loss agreement, the Company provides Everest Corporate Member Limited with coverage for net losses above a set retention level.

The table below summarizes total premiums written and earned and incurred losses and LAE ceded to and assumed from affiliates for the periods indicated:

	Years Ended December 31,	
(Dollars in thousands)	2024	2023
Written premiums:		
Assumed	1,093,660	1,219,911
Ceded	29,522	—
Premiums earned:		
Assumed	1,184,350	1,226,722
Ceded	7,550	—
Incurred losses and LAE:		
Assumed	755,115	848,661
Ceded	2,411	—

6. CREDIT FACILITY

Everest International Reinsurance, Ltd. Funds at Lloyds Syndicated Letter of Credit Facility

Effective October 30, 2024, Everest International entered into a letter of credit issuance facility with a syndicate of banks including Lloyds Bank plc, Commerzbank AG, London Branch and ING Bank N.V., London Branch, referred to as the "Funds at Lloyds Syndicated Letter of Credit Facility". The Everest International Reinsurance Funds at Lloyds Syndicated Letter of Credit Facility provides for the committed issuance of up to £112.5 million of unsecured letters of credit to support Everest Corporate Member Limited's Funds at Lloyds requirements.

The following table summarizes the outstanding letters of credit for the periods indicated:

(Dollars in thousands)	At December 31, 2024		
Letter of Credit Facility	Commitment	In Use	Date of Expiry
Everest International Reinsurance, Ltd. Funds at Lloyds Syndicated Letter of Credit Facility	£ 112,500	£ 106,590	11/1/2028

7. TRUST AGREEMENTS AND OTHER RESTRICTED ASSETS

The Company maintains certain restricted assets as security for potential future obligations, primarily to support its underwriting operations. The following table summarizes the Company's restricted assets:

	At December 31,	
(Dollars in thousands)	2024	2023
Collateral in trust for affiliated agreements	$ 17,544	$ 43,166
Funds at Lloyd's	340,500	538,011
Funds held by reinsureds	54,351	68,411
Total restricted assets	$ 412,395	$ 649,589

Restricted cash is included in cash on the consolidated balance sheets. At December 31, 2024 the Company had restricted cash of $1.4 million. At December 31, 2023 it had no restricted cash. Total restricted cash includes amounts on deposit in trust accounts for affiliated agreements.

8. CONTINGENCIES

In the ordinary course of business, the Company is involved in lawsuits, arbitrations and other formal and informal dispute resolution procedures, the outcomes of which will determine the Company's rights and obligations under insurance and reinsurance agreements. In some disputes, the Company seeks to enforce its rights under an agreement or to collect funds owing to it. In other matters, the Company is resisting attempts by others to collect funds or enforce alleged rights. These disputes arise from time to time and are ultimately resolved through both informal and formal means, including negotiated resolution, arbitration and litigation. In all such matters, the Company believes that its positions are legally and commercially reasonable. The Company considers the statuses of these proceedings when determining its reserves for unpaid loss and loss adjustment expenses.

Aside from litigation and arbitrations related to these insurance and reinsurance agreements, the Company is not a party to any other material litigation or arbitration.

9. OTHER COMPREHENSIVE INCOME (LOSS)

The following table presents the components of other comprehensive income (loss) in the consolidated statements of operations for the periods indicated:

	Years Ended December 31,					
	2024			2023		
(Dollars in thousands)	Before Tax	Tax Effect	Net of Tax	Before Tax	Tax Effect	Net of Tax
URA(D) of securities [1]	$ (41,624)	$ 27,839	$ (13,785)	$ 199,142	$ —	$ 199,142
Reclassification of net realized losses (gains) included in net income (loss) [1]	(2,308)	—	(2,308)	16,966	—	16,966
Foreign currency translation and other adjustments	(15,199)	—	(15,199)	11,917	—	11,917
Total other comprehensive income (loss)	$ (59,132)	$ 27,839	$ (31,292)	$ 228,025	$ —	$ 228,025

(Some amounts may not reconcile due to rounding.)

[1] URA(D) of securities and Reclassification of net realized losses (gains) included in net income (loss) include URA(D) of fixed maturity, available for sale securities and equity method investments.

The following table presents details of the amounts reclassified from AOCI for the periods indicated:

AOCI component	Years Ended December 31, 2024	Years Ended December 31, 2023	Affected line item within the consolidated statements of operations and comprehensive income (loss)
(Dollars in thousands)			
URA(D) of securities [1]	$ (2,308)	$ 16,966	Net gains (losses) on investments
	—	—	Income tax expense (benefit)
	$ (2,308)	$ 16,966	Net income (loss)

(Some amounts may not reconcile due to rounding.)

[1] URA(D) of securities includes URA(D) of fixed maturity, available for sale securities and equity method investments.

The following table presents the components of the change in accumulated other comprehensive income (loss), net of tax, in the consolidated balance sheets for the periods indicated:

(Dollars in thousands)	Years Ended December 31, 2024	Years Ended December 31, 2023
Beginning balance of URA(D) of securities [1]	$ (109,433)	$ (325,541)
Current period change in URA(D) of securities	(16,093)	216,108
Ending balance of URA(D) of securities	$ (125,526)	$ (109,433)
Beginning balance of foreign currency translation and other adjustments	11,998	81
Current period change in foreign currency translation and other adjustments	(15,199)	11,917
Ending balance of foreign currency translation and other adjustments	(3,201)	11,998
Ending balance of accumulated other comprehensive income (loss)	$ (128,727)	$ (97,435)

(Some amounts may not reconcile due to rounding.)

[1] URA(D) of securities includes URA(D) of fixed maturity, available for sale securities and equity method investments.

10. RELATED-PARTY TRANSACTIONS

In 2024 and 2023, the Company contributed capital of $20 million and $25 million, respectively, to its Singapore branch. In 2024 the Company also contributed capital of $29 million, $24 million and $8 million to its Australian branch, Everest Everest Colombia and Everest Mexico subsidiaries, respectively.

As of December 2024, the Company entered into a $100 million long-term note agreement with Group. The note will pay interest annually at a rate of 4.30% and is scheduled to mature in December 2027. At December 31, 2024, this transaction was included within long-term notes receivable, affiliated in the consolidated balance sheets.

As of December 19, 2022, the Company entered into a $125 million long-term note agreement with Group. The note will pay interest annually at a rate of 4.34% and was scheduled to mature in December 2052. However, the note was paid off in full in May 2023 and is no longer outstanding as of December 31, 2023.

Everest Global Services, Inc. ("Everest Global"), an affiliate of Everest International, provides centralized management and home office services, through a management agreement. Services provided by Everest Global include executive managerial services, legal services, actuarial services, accounting services, information technology services and others.

The following table presents the expenses incurred by Everest International from services provided by Everest Global for the periods indicated:

(Dollars in thousands)	Years Ended December 31, 2024	Years Ended December 31, 2023
Expenses incurred	$ 1,010	$ 555

11. INCOME TAXES

On December 27, 2023, the Government of Bermuda enacted the Corporate Income Tax Act 2023 ("The 2023 Act"), which will apply a 15% corporate income tax to certain Bermuda businesses in fiscal years beginning on or after January

1, 2025. The 2023 Act includes a provision referred to as “The Economic Transition Adjustment” (the “ETA”), which is intended to provide a fair and equitable transition into the new tax regime, and results in a deferred tax benefit for the Company. However, on January 15, 2025, the OECD issued Guidance related to “deferred tax assets arising from tax benefits provided by General Government” whereby it has restricted the utilization of those deferred tax benefits against the computation of its Pillar Two Global Minimum Taxes to approximately 20% of the originally calculated amounts and only for a grace period of two years through 2026. If the Bermuda Ministry of Finance amends The 2023 Act in response to this Guidance, the exact impact of any such amendments is uncertain but there is a risk that it results in a reduction in the Company's Deferred Tax Assets.

All of the foreign income of the Company is subject to the applicable foreign and local taxes.

The provision for income taxes in the consolidated statement of operations and comprehensive income (loss) has been determined by reference to the applicable tax laws of jurisdictions in which the income of the Company is subject to tax. It reflects the permanent differences between financial and taxable income. The significant components of the provision are as follows for the periods indicated:

	Years Ended December 31,	
(Dollars in thousands)	2024	2023
Current foreign tax expense (benefit)	$ 6,614	$ 24
Deferred tax expense (benefit)	(5,011)	(94,636)
Total income tax expense (benefit)	$ 1,603	$ (94,612)

The weighted average expected tax provision has been calculated using the pre-tax income (loss) in each jurisdiction multiplied by that jurisdiction’s applicable statutory tax rate. Reconciliation of the difference between the provision for income taxes and the expected tax provision at the weighted average tax rate for the periods indicated is provided below:

	Years Ended December 31,	
(Dollars in thousands)	2024	2023
Expected tax provision at the applicable statutory rate	$ (1,298)	$ (948)
Bermuda corporate income tax	—	(94,636)
Valuation allowance	1,298	948
Withholding tax	4,887	24
Other	(3,284)	—
Total income tax provision	$ 1,603	$ (94,612)

(Some amounts may not reconcile due to rounding.)

Deferred income taxes reflect the tax effect of the temporary differences between the value of assets and liabilities for financial statement purposes and such values as measured by the U.S. tax laws and regulations. The principal items making up the net deferred income tax assets/(liabilities) are as follows for the periods indicated:

	At December 31,	
(Dollars in thousands)	2024	2023
Deferred tax assets:		
Bermuda intangible asset	$ 93,285	$ 93,285
Bermuda loss reserves	35,613	35,613
Net unrealized investment losses	27,752	—
Net operating losses	2,770	1,471
Other assets	4,973	—
Total deferred tax assets	164,393	130,369
Deferred tax liabilities:		
Fair value investments	34,156	34,156
Other liabilities	106	106
Total deferred tax liabilities	34,262	34,262
Net deferred tax assets	130,131	96,107
Less: Valuation allowance	2,770	1,471
Net deferred tax assets/(liabilities)	$ 127,361	$ 94,636

(Some amounts may not reconcile due to rounding.)

At December 31, 2024, the Company had $2.8 million of Valuation Allowance ("VA"). The VA is a result of our conclusion under U.S. GAAP accounting principles that the Singapore, Australia, and Colombia jurisdictions could not demonstrate that it was more likely than not that the related deferred tax assets will be realized. This was primarily due to the Company's inability to demonstrate overall profitability within each of the jurisdictions.

12. DIVIDEND RESTRICTIONS AND STATUTORY FINANCIAL INFORMATION

Dividend Restrictions.
Under Bermuda law, Everest International is prohibited from declaring or making payment of a dividend if it fails to meet its minimum solvency margin or minimum liquidity ratio. Prior approval of the Bermuda Monetary Authority ("BMA") is required if Everest International's dividend payments would reduce its prior year-end total statutory capital and surplus by 25% or more.

Statutory Financial Information.
Everest International prepares its statutory financial statements in conformity with the accounting principles set forth in Bermuda in The Insurance Act 1978, amendments thereto and related regulations. The statutory capital and surplus of Everest International was $1.7 billion and $1.3 billion at December 31, 2024 and 2023, respectively. The statutory net income (loss) of Everest International was $497.3 million and $95.3 million for the years ended December 31, 2024 and 2023, respectively.

Capital Restrictions.
Everest International is subject to the Bermuda Solvency Capital Requirement ("BSCR") administered by the BMA. No regulatory action is taken if an insurer's capital and surplus is equal to or in excess of their enhanced capital requirement determined by the BSCR model. In addition, the BMA has established a target capital level for each insurer, which is 120% of the enhanced capital requirement.

The regulatory targeted capital and the actual statutory capital for Everest International was as follows:

	Everest International [1]	
	At December 31,	
(Dollars in thousands)	2024 [2]	2023
Regulatory targeted capital	$ 1,234,238	$ 1,109,120
Actual capital	1,701,479	1,310,352

(1) Regulatory targeted capital represents the target capital level from the applicable year's BSCR calculation.

(2) In accordance with guidance issued by the BMA in 2025, Bermuda Re has reflected the impacts of the ETA recognized in response to The 2023 Act in its 2024 regulatory targeted capital and actual capital.

13. SUBSEQUENT EVENTS

The Company has evaluated known recognized and non-recognized subsequent events through April 25, 2025, the date the financial statements are available to be issued. In January 2025, wildfires impacted Southern California. Group is estimating pre-tax net catastrophe losses to be in the range of $350 to $450 million for the first quarter 2025, net of any estimated recoveries or reinstatement premiums. The Company does not have any other subsequent events to report.